Credit memo: United Rentals, Inc.

Borrower	United Rentals, Inc.
Fiscal year	ending 2025-12-31 (SEC 10-K XBRL filings)
Proposed facility	USD 100m 5-year floating-rate bullet at 6.0%
Purpose	capital expenditure
Analyst review	Draft, not yet reviewed by an analyst. All sentences passed the evidence and consistency checks.
Prepared	2026-11-07T23:27:44Z · writer template · snapshot a99407198bd3

ANALYST REVIEW REQUIRED — decision support only; not a rating, not a probability of default, not a lending decision.

Amounts in USD millions unless stated. Every number is inserted from the deterministic engines and cited in brackets; the appendix gives each source.

Executive assessment

After the facility, net debt / EBITDA would be 1.96x, against 1.94x before it, with EBITDA / interest at 9.81x.[1–3] The next-FY accounting-stress screen is 1.8%, in the low band.[4–5] The maximum net debt / EBITDA covenant of 3.50x holds in the downside case, with headroom of 1.05x.[6–7] Figures come from SEC 10-K XBRL filings; the memo supports analyst judgement and makes no lending decision.[8]

Financial profile

Revenue was USD 16,099m, up 4.9% year on year.[9–10] EBITDA, approximated as operating income plus depreciation and amortization, was USD 7,081m, a margin of 44.0%, against 45.4% a year earlier.[11–13] Gross debt stood at USD 14,229m and cash at USD 459m, for net debt of USD 13,770m.[14–16] Net debt / EBITDA was 1.94x and EBITDA / interest 9.89x.[2, 17] For the credit ratios the filing figures were adjusted to total depreciation and amortization, income-statement interest expense; the appendix gives each rule.[18]

Key strengths

Leverage is moderate, with net debt / EBITDA of 1.94x.[2] Interest is comfortably covered, with EBITDA / interest of 9.89x.[17]

Key risks

The current ratio of 0.94x is below one, so current liabilities exceed current assets.[19] Some inputs were derived or approximated (5 data warnings); see the evidence appendix.[20]

Neural stress screen

The neural stress screen puts the chance that next year's accounts show financial stress at 1.8%, in the low screening band.[4–5] The largest contributions came from operating cash flow to assets (lowering the score) and company size (lowering the score).[21–22] On held-out years the model reached a precision-recall AUC of 0.805, against 0.825 for an XGBoost benchmark.[23–24] The screen is an indicator of accounting stress, not of default, and is one input to analyst judgement.

Stress cases

In the base case gross debt rises to USD 14,329m; net debt / EBITDA is 1.96x and EBITDA / interest is 9.81x.[1, 3, 25] In the downside case (EBITDA -20%, rates +200 bp) net debt / EBITDA is 2.45x and EBITDA / interest is 7.82x.[26–28] In the severe case (EBITDA -35%, rates +400 bp) net debt / EBITDA is 3.01x and EBITDA / interest is 6.34x.[29–31] In the analyst's own case (EBITDA -10%, rates +100 bp) net debt / EBITDA is 2.18x and EBITDA / interest is 8.81x.[32–34] Proceeds spent on capex or acquisitions are assumed to add no

EBITDA.

	Before loan	Base	Downside	Severe	Your case
Assumptions	reported	no shock	EBITDA -20%, rates +200 bp	EBITDA -35%, rates +400 bp	EBITDA -10%, rates +100 bp
EBITDA	USD 7,081m	USD 7,081m	USD 5,665m	USD 4,603m	USD 6,373m
Gross debt	USD 14,229m	USD 14,329m	USD 14,329m	USD 14,329m	USD 14,329m
Net debt	USD 13,770m	USD 13,870m	USD 13,870m	USD 13,870m	USD 13,870m
Net debt / EBITDA	1.94x	1.96x	2.45x	3.01x	2.18x
EBITDA / interest	9.89x	9.81x	7.82x	6.34x	8.81x
Headroom: max net debt / EBITDA	—	pass +1.54x	pass +1.05x	pass +0.49x	pass +1.32x
Headroom: min EBITDA / interest	—	pass +6.81x	pass +4.82x	pass +3.34x	pass +5.81x

Headroom is the distance to the covenant limit; a breach shows the shortfall. Not testable means the ratio is undefined (EBITDA at or below zero, or no interest expense); it is not counted as a breach. EBITDA shocks move EBITDA by a share of its size, so a downside deepens a loss.

Covenant headroom

Against a maximum net debt / EBITDA of 3.50x, in the base case headroom is 1.54x.[6, 35] In the downside case headroom is 1.05x.[7] In the analyst's own case headroom is 1.32x.[36] Against a minimum EBITDA / interest of 3.00x, in the base case headroom is 6.81x.[37–38] In the downside case headroom is 4.82x.[39] In the analyst's own case headroom is 5.81x.[40]

Diligence questions

Is a maximum net debt / EBITDA covenant of 3.50x appropriate given the downside headroom?[6] How much of the existing debt is floating-rate, and is it hedged? Does operating income include one-off items that an adjusted EBITDA would remove? Close the data gaps listed in the appendix before committee.

Assumptions (analysis snapshot a99407198bd3)

Input	Value
Baseline (credit basis)	EBITDA USD 7,081.0m, gross debt 14,229.0m, cash 459.0m, interest 716.0m
Cash basis	unrestricted
Facility	USD 100.0m, 5-year, floating at 6.00%, repayment 0.0m a year
Use of proceeds	capex
Existing debt at floating rate	0.00%
Covenants	max net debt / EBITDA 3.50x; min EBITDA / interest 3.00x
Case: Base	EBITDA +0%, rates +0 bp
Case: Downside	EBITDA -20%, rates +200 bp
Case: Severe	EBITDA -35%, rates +400 bp
Case: Your case	EBITDA -10%, rates +100 bp
Snapshot	a99407198bd3 (loan engine v1.2.0, snapshot format v1)

Source trail for headline figures

Each figure from the filing to the memo: where it was reported, the normalized fact (with any rule applied), the calculation, and the first memo sentence that cites it.

EBITDA (approx.) (FY2025): USD 7,081m

Filing → normalized	Operating income: 3,973,000,000 USD, tag OperatingIncomeLoss, 10-K filed 2026-01-28, accession 0001067701-26-000007 → 3,973.0m Depreciation and amortization: 438,000,000 USD, tag DepreciationAndAmortization, 10-K filed 2026-01-28, accession 0001067701-26-000007 → 3,108.0m (rule R6: D&A in cost of revenue 2,670.0m (CostOfGoodsAndServicesSoldDepreciationAndAmortization) + other D&A 438.0m (DepreciationAndAmortization))
Calculation	EBITDA = 3,973.0 + 3,108.0 = 7,081.0
Memo statement	“EBITDA, approximated as operating income plus depreciation and amortization, was USD 7,081m, a margin of 44.0%, against 45.4% a year earlier.” (Financial profile, [11])

Net debt (FY2025): USD 13,770m

Filing → normalized	Short-term borrowings: derived by rule from accession 0001067701-26-000007 → 0.0m (rule R1:included in DebtCurrent) Current portion of long-term debt: derived by rule from accession 0001067701-26-000007 → 1,577.0m (rule R1:DebtCurrent) Long-term debt (non-current): 12,652,000,000 USD, tag LongTermDebtAndCapitalLeaseObligations, 10-K filed 2026-01-28, accession 0001067701-26-000007 → 12,652.0m Cash and equivalents: 459,000,000 USD, tag CashAndCashEquivalentsAtCarryingValue, 10-K filed 2026-01-28, accession 0001067701-26-000007 → 459.0m
Calculation	Gross debt = 0.0 + 1,577.0 + 12,652.0 = 14,229.0 Net debt = 14,229.0 - 459.0 = 13,770.0
Memo statement	“Gross debt stood at USD 14,229m and cash at USD 459m, for net debt of USD 13,770m.” (Financial profile, [16])

Net debt / EBITDA (FY2025): 1.94x

Filing → normalized	Operating income: 3,973,000,000 USD, tag OperatingIncomeLoss, 10-K filed 2026-01-28, accession 0001067701-26-000007 → 3,973.0m Depreciation and amortization: 438,000,000 USD, tag DepreciationAndAmortization, 10-K filed 2026-01-28, accession 0001067701-26-000007 → 3,108.0m (rule R6: D&A in cost of revenue 2,670.0m (CostOfGoodsAndServicesSoldDepreciationAndAmortization) + other D&A 438.0m (DepreciationAndAmortization)) Short-term borrowings: derived by rule from accession 0001067701-26-000007 → 0.0m (rule R1:included in DebtCurrent) Current portion of long-term debt: derived by rule from accession 0001067701-26-000007 → 1,577.0m (rule R1:DebtCurrent) Long-term debt (non-current): 12,652,000,000 USD, tag LongTermDebtAndCapitalLeaseObligations, 10-K filed 2026-01-28, accession 0001067701-26-000007 → 12,652.0m Cash and equivalents: 459,000,000 USD, tag CashAndCashEquivalentsAtCarryingValue, 10-K filed 2026-01-28, accession 0001067701-26-000007 → 459.0m
Calculation	EBITDA = 3,973.0 + 3,108.0 = 7,081.0 Gross debt = 0.0 + 1,577.0 + 12,652.0 = 14,229.0 Net debt = 14,229.0 - 459.0 = 13,770.0 Net debt / EBITDA = 13,770.0 / 7,081.0 = 1.94x
Memo statement	“After the facility, net debt / EBITDA would be 1.96x, against 1.94x before it, with EBITDA / interest at 9.81x.” (Executive assessment, [2])

EBITDA / interest (FY2025): 9.89x

Filing → normalized	Operating income: 3,973,000,000 USD, tag OperatingIncomeLoss, 10-K filed 2026-01-28, accession 0001067701-26-000007 → 3,973.0m Depreciation and amortization: 438,000,000 USD, tag DepreciationAndAmortization, 10-K filed 2026-01-28, accession 0001067701-26-000007 → 3,108.0m (rule R6: D&A in cost of revenue 2,670.0m (CostOfGoodsAndServicesSoldDepreciationAndAmortization) + other D&A 438.0m (DepreciationAndAmortization)) Interest expense: 703,000,000 USD, tag InterestPaidNet, 10-K filed 2026-01-28, accession 0001067701-26-000007 → 716.0m (rule R7: income-statement interest expense, net of interest income (InterestIncomeExpenseNonoperatingNet); replaces cash interest paid 703.0m)
Calculation	EBITDA = 3,973.0 + 3,108.0 = 7,081.0 EBITDA / interest = 7,081.0 / 716.0 = 9.89x
Memo statement	“Net debt / EBITDA was 1.94x and EBITDA / interest 9.89x.” (Financial profile, [17])

Evidence appendix

#	Item	Value	Source
1	Base case net debt / EBITDA	1.96x	Loan engine v1.2.0, Base case
2	Net debt / EBITDA (FY2025)	1.94x	Formula net_debt / ebitda (v1.0.0)
3	Base case EBITDA / interest	9.81x	Loan engine v1.2.0, Base case
4	Next-FY accounting-stress probability	1.8%	Neural stress model stress_mlp_v1; inputs as of 2026-01-28
5	Screening band	low	Neural stress model stress_mlp_v1; inputs as of 2026-01-28
6	Covenant: maximum net debt / EBITDA	3.50x	Analyst input in the loan lab
7	Downside case headroom (max net debt / EBITDA)	1.05x	Loan engine v1.2.0, Downside case
8	Data source	SEC 10-K XBRL filings	SEC XBRL companyfacts
9	Revenue (FY2025)	USD 16,099m	10-K XBRL Revenues, accession 0001067701-26-000007, filed 2026-01-28
10	Size of revenue change	4.9%	Formula |revenue_t / revenue_t-1 - 1| (v1.0.0)
11	EBITDA (approx.) (FY2025)	USD 7,081m	Formula operating_income + depreciation_amortization (v1.0.0)
12	EBITDA margin (FY2025)	44.0%	Formula ebitda / revenue (v1.0.0)
13	EBITDA margin (FY2024)	45.4%	Formula ebitda / revenue (v1.0.0)
14	Gross debt (FY2025)	USD 14,229m	Formula short_term_borrowings + current_maturities_ltd + long_term_debt_noncurrent (v1.0.0)
15	Cash and equivalents (FY2025)	USD 459m	10-K XBRL CashAndCashEquivalentsAtCarryingValue, accession 0001067701-26-000007, filed 2026-01-28
16	Net debt (FY2025)	USD 13,770m	Formula gross_debt - unrestricted_cash (v1.0.0)
17	EBITDA / interest (FY2025)	9.89x	Formula ebitda / interest_expense (v1.0.0)
18	Credit-basis adjustments	total depreciation and amortization, income-statement interest expense	Data-quality checks: R6: D&A in cost of revenue 2,670.0m (CostOfGoodsAndServicesSoldDepreciationAndAmortization) + other D&A 438.0m (DepreciationAndAmortization); R7: income-statement interest expense, net of interest income (InterestIncomeExpenseNonoperatingNet); replaces cash interest paid 703.0m
19	Current ratio (FY2025)	0.94x	Formula current_assets / current_liabilities (v1.0.0)
20	Data-quality warnings	5	Data-quality checks
21	Model driver 1	operating cash flow to assets (lowering the score)	Neural stress model stress_mlp_v1; inputs as of n/a
22	Model driver 2	company size (lowering the score)	Neural stress model stress_mlp_v1; inputs as of n/a
23	Model held-out PR-AUC	0.805	Frozen test-window evaluation (model card)
24	XGBoost benchmark PR-AUC	0.825	Frozen test-window evaluation (model card)
25	Base case gross debt	USD 14,329m	Loan engine v1.2.0, Base case
26	Downside case assumptions	EBITDA -20%, rates +200 bp	Loan engine v1.2.0, Downside case
27	Downside case net debt / EBITDA	2.45x	Loan engine v1.2.0, Downside case
28	Downside case EBITDA / interest	7.82x	Loan engine v1.2.0, Downside case
29	Severe case assumptions	EBITDA -35%, rates +400 bp	Loan engine v1.2.0, Severe case
30	Severe case net debt / EBITDA	3.01x	Loan engine v1.2.0, Severe case
31	Severe case EBITDA / interest	6.34x	Loan engine v1.2.0, Severe case

#	Item	Value	Source
32	Your case assumptions	EBITDA -10%, rates +100 bp	Loan engine v1.2.0, Your case case
33	Your case net debt / EBITDA	2.18x	Loan engine v1.2.0, Your case case
34	Your case EBITDA / interest	8.81x	Loan engine v1.2.0, Your case case
35	Base case headroom (max net debt / EBITDA)	1.54x	Loan engine v1.2.0, Base case
36	Your case headroom (max net debt / EBITDA)	1.32x	Loan engine v1.2.0, Your case case
37	Covenant: minimum EBITDA / interest	3.00x	Analyst input in the loan lab
38	Base case headroom (min EBITDA / interest)	6.81x	Loan engine v1.2.0, Base case
39	Downside case headroom (min EBITDA / interest)	4.82x	Loan engine v1.2.0, Downside case
40	Your case headroom (min EBITDA / interest)	5.81x	Loan engine v1.2.0, Your case case

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